

Once you finish measuring fixed costs, add a couple of thousands to that amount for expenses such as bike repair, new mobile etc. These expenses come with a longer timescale regularity but do not come in monthly repetition. When you divide these expenses into a monthly timeframe we usually get 2000 (8-10% of a youngster's salary) as its monthly equivalent.

In personal finance, there are no hard and fast rules and personalizing it to each individual is the fascinating part. But maintaining these costs within the confines of 40-65% of your total salary is an indicator of healthy management. As you finish adding a couple of thousands, minus this total amount from your take home pay. The amount that remains, is for investing, saving and spending.

2. Investments

In week 5, we'll see where (mutual funds, EPF etc.) to invest (totally awesome) depending on the timescale of the life goal. Right now, though, we'll identify which goals demand more importance and the cash flow percentage you'd like to allocate toward that.

Why is retirement a big deal?

Let's say you are a 25-year-old earning 5 Lakhs a year and spending half of that toward essential needs. If we assume your salary will increase at a conservative rate of 5% a year and your expenses at 6% (possibly an underestimate), this is how they will pan out in future.



If we assume you no longer wish to work after age 55, then your ledger will look like this